

Table 74.3 Cumulative Failure Rates

Maximum Price Rise or Decline (%)	Bull Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
5 (breakeven)	113 or 19%	456 or 51%	64 or 28%
10	76 or 32%	165 or 70%	44 or 47%
15	55 or 42%	80 or 79%	30 or 60%
20	41 or 49%	59 or 86%	18 or 68%
25	32 or 54%	39 or 90%	12 or 73%
30	32 or 60%	28 or 93%	14 or 79%
35	23 or 64%	30 or 97%	14 or 85%
50	64 or 75%	26 or 99%	24 or 95%
75	59 or 85%	5 or 100%	9 or 99%
Over 75	87 or 100%	0 or 100%	2 or 100%

Let's go through the numbers for the bull market, upward breakout column. I found that 19% of wedges fail to see price rise more than 5%. Thirty-two percent failed to see price rise more than 10%.

Look at the downward breakout numbers in bull markets. The failure rate starts at 51% and climbs to 70% the next row down. Over half of wedges won't see price drop more than 5%.

How do you use the table? Say your cost of trading is 5% and you want to make 10% on average, for a total of 15%. Which breakout direction and market condition will work best for wedges? Answer: wedges with upward breakouts in bull markets. They fail 42% of the time to rise more than 15%, but that is the best of the lot.

Table 74.4 shows breakout-related statistics.

Breakout direction. Wedges like to break out downward most often, regardless of market conditions (bull or bear).

Yearly position, performance. The best performers occur in the lowest third of the yearly price range in all three columns. You'll want to avoid downward breakouts at high altitude, those with breakouts within a third of